The language of Business Analytics
A Glossary of 38 Essential Terms

01 Foundational Concepts of Analytics

① Business Analytics

Definition: Business Analytics is using data to help business make better decisions. It combines statistics and business knowledge to solve real problems. Unlike BI, it also looks forward - not just at what already happened.

Examples: Pick n Pay might use Business Analytics to predict which products will run low on stock and recommend reorder quantities

② Data Analytics

Definition: Data Analytics is the broader process of examining raw data to find patterns and conclusions. Business Analytics is actually a type of Data Analytics. The difference is that Data Analytics applies to any field, not just business.

Example: A hospital might use Data Analytics on patient records to identify who is likely to be readmitted within 30 days.

③ Business Intelligence (BI)

Definition: BI refers to the tools and processes used to turn raw data into reports, charts, and dashboards. It is mostly backward-looking - it shows what already happened. Unlike Business Analytics, it does not explain why or 'recommend next steps.

Example: A company might use Power BI to generate an automatic weekly sales report showing which regions performed best.
Source Canter Glossary (2024). Business Intelligence. www.gartner.com

④ Data-Driven Decision Making
Definition: This is a management approach where decisions are backed by actual data rather than gut feeling. Data-backed decisions are generally less risky and more reliable.
Example: Instead of guessing which platform to advertise on, a marketing manager uses engagement data and customer demographics to choose where to spend the budget.
Source: Harvard Business Review (2022). Use Data to Accelerate Your Business Strategy. hbr.org

⑤ Big Data.
Definition: Big Data refers to datasets so large or complex that normal tools cannot handle them. It is described using the 3 Vs: Volume (lots of data), Velocity (fast-moving), and Variety (many formats — text, video, GPS, etc).
Example. Facebook generates Big Data every second — millions of posts and clicks-ins — and uses special systems to personalize each user's feed.
Source: Mckinsey & Company (2023). The data-driven enterprise of 2025. www.mckinsey.com

⑥ Descriptive Analytics
Definition: Descriptive Alytics answers the question 'What happened?' It summarises historical data to show past performance. Most standard reports are descriptive useful, but they do not explain causes or predict the future.
Exp: A quarterly sales report showing total revenue per product category is a classic example of Descriptive Analytics
Souce: Gartner Glossary (2024). Descriptive Analytics www.gartner.com

⑦ Diagnostic Analytics
Definition: Diagnostic Analytics goes a step further and tries to explain why something happened. It involves drilling into data to find correlations and root causes behind a result.
Exp: If a restaurant chain's sales dropped 20% in July, Diagnostic Analytics would help identify whether it was due to a new competitor or a rise in negative online reviews
Saura: Evans, J. R. (2019). Business Analytics (3rd ed.) Pearson.

⑧ Predictive Analytics
Definition: uses historical data and statistical models to forecast what is likely to happen in the future. It provides probabilities, not certainty and is more advanced than Descriptive or Diagnostic Analytics.
Example: Banks use Predictive Analytics to assess the likelihood of a loan applicant defaulting - helping decide whether to approve or decline.

Saurce : Investopedia (2024). Predictive Analytics. www.investopedia.com.

⑨ Prescriptive Analytics
Definition : Is the most advanced type. it does not just predict outcomes, it recommends specific actions to achieve the best result. It often uses AI and optimisation models.
Example : A logistics company like DHL might use Prescriptive Analytics to recommend the most fuel-efficient route for each driver based on real-time traffic and weather
Saurce : Gartner Glossary (2024)

⑩ Data Literacy
Definition : Data Literacy is the ability to read, understand and work with data. You do not need to be a data scientist you just need to understand what a report is saying and ask sensible questions about it
Example: A marketing manager who reads a campaign report, understands what the conversion rate means, and spots
Saurce : Mc Mckinsey & company (2023

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02 Data, Measurement & Reporting

(11) Structured Data

Definition: Is organised in a fixed format - rows and columns like a spreadsheet or ~~dataset~~ database. It is easy to search and analyse with standard tools like Excel or SQL.
Example: A CRM like Salesforce stores structured data each row is a customer, with columns for name, email and purchase history.
Source: Investopedia (2024). Structured Data

(12) Unstructured Data

Definition: Unstructured data does not fit into neat rows and columns. It includes emails, social posts, images and audio. It makes up most of the data generated today but needs advanced tools to analyse.
Example: Customer reviews on Takealot are unstructured data - a business needs sentiment analysis tools to process thousands of free-text comments.
Source: Evans, J. R

(13) Data Warehouse

Definition: Is a centralised system where data from multiple sources is stored and organised specifically for analysis - not day to day operations.
Exp: A retailer might combine sales data from stores the website and a loyalty app into one Data Warehouse so analysts can report across all channels at once.
Source: Gartner Glossary (2024)

(14) Data Mining
Definition: Data Mining is searching large dataset for hidden patterns or relationships that are not immediately obvious. It uses algorithms to find insights human might easily miss.
Example: A supermarket discovered through data mining that customers who buy nappies on weekends also tend to buy beer - influencing how products are placed in store.
Source: Investopedia (2024)

(15) Data Visualization
Definition: means presenting data visually - through charts, graphs or infographics - so it is easier to understand quickly, especially for non-technical audiences.
Example: A line graph showing monthly revenue over 12 months makes growth trends immediately visible in a way that a raw spreadsheet does not.
Sour: HubSpot (2024). Marketing Statistic & Trend www.hubspot.com

(16) Dashboard
Definition: A Dashboard is a single screen displaying multiple key metrics and charts usually updated in real time. It helps managers check performance at a glance without digging through raw data.
Emp: A sales dashboard might show today's revenue, deals closed, and each reps progress toward their monthly target - all updating live.

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(17) Metric
Definition: Is any measurable number a business tracks - visits, calls made, units produced etc. It is just a measurement and does not have to be tied to a strategic goal. Not every metric is equally important.
Example: Daily website visitors is a metric for most businesses - useful to know, but on its own it does not tell you if the company is succeeding.
Source: Evans, J. R.

(18) Key Performance Indicator (KPI)
Definition: Is a metric directly tied to a company's strategic goals - it measures progress toward what the business wants to achieve. Every KPI is a metric, but not every metric is a KPI. The difference is whether the number drives decision at the highest level.
Example: For Uber, completed trips per day is a KPI because it directly measures whether the core business is working. Average driver login time is just a supporting metric.
Source: Investopedia (2024)

(19) Benchmark
Definition: Is a reference point you compare your performance against - usually an industry average, a competitor, or your own past results. Without it, numbers have no context.
Example: If the retail industry's average email open rate is 21% and yours is 28%, the benchmark tells you that you are performing above average.
Source: HubSpot (2024)

⑳ Segmentation
Definition: means dividing customers into groups based on shared characteristics like age, location or spending habits. Different groups behave differently, so targeting each one separately gives better results.
Example: A mobile network might segment customers into 'heavy data users', 'voice-only users' and 'price-sensitive switchers' — then create a different promotion for each group.
Source: Mc-Kinsey & Company (2023).

03 Customer and Sales KPIs

㉑ Conversion Rate
Definition: Is the percentage of people who take a desired action out of those who had the chance to — like buying, signing up or downloading. A higher rate means marketing is doing a better job of turning interest into results
Example: If 1000 people visit an online store and 45 buy something, the conversion rate is 4.5%
Source: Google Analytics Help Centre (2024). About conversion events. support.google.com/analytics

㉒ Customer Acquisition Cost (CAC)
Definition: CAC is the average cost of gaining one new customer — total marketing and sales spend divided by the number of new customers in that period. The CLV:CAC ratio is a key health check; ideally a business earns at least 3x more from a customer

than it spent to win them.
Example: A gym spends R 50 000 on ads and gains 200 new members — their CAC is R 250 per member.
Source: Investopedia (2024)

(23) Customer Lifetime Value (CLV / LTV)
Definition: CLV is the total profit expected from one customer over the entire relationship — not just a single purchase. A healthy CLV : CAC ratio (ideally 3:1 or higher) means the business earns far more than it spends to acquire customers.
Example: A shownax subscriber at R99/month who stays 18 months has a CLV of R 1782. With a R200 CAC, the ratio is nearly 9:1 — very strong.
Source: HubSpot (2024)

(24) Churn Rate
Definition: Churn Rate is the percentage of customers who cancel or stop using a product in a given period. High churn is a warning sign, especially for subscription businesses. Because it means customers leave faster than they can be replaced.
Exp: If a software company starts a month with 500 subscribers and 30 cancel, the monthly churn rate is 6%
Source: Investopedia (2024)

(25) Customer Retention Rate
Definition: Retention Rate is the percentage of customers a company keeps over a given period — the opposite of churn. High retention is usually

more cost-effective than constantly finding new customers.
Example: If a company has 500 customers and kept 470, the retention rate is 94% - a solid result for most industries
Source: HubSpot (2024)

(26) Net Promoter Score (NPS)
Definition: NPS measures how likely customers are to recommend your business, on a 0-10 scale. Score of 9-10 are Promoters, 7-8 are Passives and 0-6 are Detractors. NPS = % Promoters minus % Detractors. It gives a quick read on customer loyalty
Example Apple consistently scores above 70 on NPS meaning most customers actively recommend Apple to others, reducing the need for paid advertising
Source: Harvard Business Review (2022). The one Number You Need to Grow. hbr.org

(27) Average Order Value (AOV)
Definition: AOV is the average amount spent per order - total revenue divided by total orders. Increasing AOV grows revenue without needing more customers, which is why it is a popular e-commerce goal
Example: If Woolworths online made R 2000 000 from 5000 orders, AOV is R400. Offering free delivery above R500 could nudge customers to spend more.
Source: Investopedia (2024). Average Order Value. www.investopedia.com.

(28) Sales funnel.
Definition: The sales funnel describes the stages a potential customer moves through — from first hearing about a product to buying it. It is called a funnel because many enter at the top but fewer reach the bottom. Typical stages: Awareness, interest, Consideration, Purchase.
Example: A car dealership gets 1000 people seeing their ad, 200 visiting the website, 50 booking a test drive, and 5 buying. The funnel shows exactly where people drop off.
Source HubSpot (2024).

04 Marketing And Campaign Analytics

(29) Marketing Campaign
Definition: Is a planned, coordinated set of activities across multiple channels, all working toward on specific goal over a set period — like increasing sales or raising brand awareness.
Example: A fast-food chain launching a new burger might run instagram ads, influencer posts, loyalty emails, and in-store promotions simultaneously with the same message.
Source: HubSpot (2024)

(30) Post-Campaign Analysis
Definition: Post-Campaign Analysis is reviewing a campaign after it ends to measure whether it hit its goals and what can be improved. It uses

metric like incremental revenue and ROI to judge success and informs future campaign planning.
Example: After a Black Friday campaign, a retail team would compare sales to the previous year, review ROI and check which ads had the best click-through rates.
Source: McKinsey & Company (2023)

(31) Incremental Revenue
Definition: Incremental Revenue is the extra revenue directly caused by a campaign - above what the business would have earned anyway. It is used in post-campaign analysis to isolate the true impact, not just count all revenue during that period.
Example: If a store normally earns R€0 000 on jackets in August but earned R 115 000 after a winter campaign, the incremental revenue is R35 000
Source: Investopedia (2024).

(32) Return On Investment (ROI)
Definition: ROI measures how much profit you made relative to what you spent. Formula: ROI = (Net Profit / cost) x 100. A positive ROI means the campaign paid off. ROI is commonly used alongside incremental revenue in post campaign analysis.
Example: A company spends R 10 000 on ads and earns R 40 000 in sales (R25 000 cost of goods). Net profit is R 15 000 giving an ROI of 150%.
Source: Investopedia (2024).

(33) Return on Ad Spend (ROAS)

Definition: ROAS measures revenue earned for every rand spent on ads - formula: Revenue from Ads / Cost of Ads. Unlike ROI, it focuses purely on ad revenue. A ROAS of 4 means R 4 earned for every R1 spent.

Example: An at onTime store spends R 5000 on facebook Ads and drives R 25 000 in sales - their ROAS is 5, which is considered strong.

Source: Google Analytics Help Centre (2024). About ROAS. support.google.com/analytics

(34) Click-Through Rate (CTR)

Definition: CTR is the percentage of people who see an ad or email and actually click it - clicks divided by impressions, multiplied by 100. A higher CTR suggests the creative or subject line is relevant and engaging.

Example: If a promotional email goes to 10 000 subscribers and 300 click the link, the CTR is 3%.

Source: HubSpot (2024).

(35) Bounce Rate

Definition: Bounce Rate is the percentage of website visitors who land on a page and leave without taking any action. A high bounce rate usually signals a mismatch between the ad and the landing page, or slow load times.

Example: If visitors from a specific ad have an 85% bounce rate, the landing page likely does not

deliver what the ad promised - and needs fixing -
Source: Google Analytics Help Centre (2024)

(36) A/B Testing
Definition: A/B Testing (split testing) compares two versions of an ad, email, or page to see which performs better. Half the audience sees version A, half sees version B, and the results - usually CTR or conversion rate - decide the winner.
Example: Netflix tests two thumbnail images for the same show on different user groups and rolls out whichever gets more clicks
Source: HubSpot (2024)

(37) Lead Generation
Definition: Lead Generation is attracting potential customers and capturing their details so the sales team can follow up. Leads are people who have shown interest but have not bought yet - they sit at the top of the sales funnel.
Example: A software company offering a free 14-day trial is generating leads. Everyone who signs up gives their email and enters the sales funnel.
Source: HubSpot (2024)

(38) Marketing Attribution
Definition: Marketing Attribution is figuring out which channel or touchpoint deserves credit for a sale. A customer might see a brand on TikTok, Google it, click an ad, and then buy after an email. Attribution models (last-click, first-click, or multi-touch)

help decide which channel actually drove the results. Example: A fashion brand finds through attribution that most buyers first discovered item via a TikTok influencer — even though the final click came from Google Search. They then shift budget to TikTok. Source: Google Analytics Help centre (2024). Attribution modelling. support.google.com/analytics.

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